



Loans

Loans offer a fixed sum of money to be repaid, plus interest, over a fixed period of time. Personal loans can be used at the borrower's discretion but some other types of loan have a defined purpose.

How it works

Loans allow individuals to borrow a lump sum to use in the short term, which they then repay in instalments at set intervals over an agreed longer-term period. For example, a person might borrow £10,000 to be repaid over five years. As well as repaying the capital, the borrower also pays interest on the loan. Periodic repayments are calculated so that the borrower repays some of the capital and some of the interest with each payment.

Loans can be used as a cheaper alternative to other borrowing

facilities such as overdrafts and credit cards. If a loan is "secured" on an asset (such as a house), and the loan is not repaid on time, the lender is entitled to take the asset. Typically a secured loan is less expensive to the borrower than an unsecured loan. A mortgage is a type of secured loan used to buy a property without paying the entire value of the purchase up front.

Various institutions including banks, building societies, payday lenders, credit unions, supermarkets, and peer-to-peer lenders sell loans. Loan brokers may also offer loans from a range of different providers.



NEED TO KNOW

➤ **APR (Annual Percentage Rate)**
The annual rate of interest payable (on loans), taking into account other charges.

➤ **AER (Annual Equivalent Rate)**
Used for savings accounts, the AER takes into account how often interest is paid, as well as the impact of compound interest.



WARNING

Payday loans are designed to cover short-term financial shortfalls. The idea is that people repay the debt on their next payday. Customers typically pay about £25 to borrow £100 for 28 days – an equivalent APR of over 4,000 per cent. They are also charged fees for missed payments or to extend the loan.

5,583%

APR of payday loan company Wonga before new rules applied in 2014



CASE STUDY

Loan repayments

For loans with a fixed monthly repayment of principal plus interest, payments at first consist of mainly interest. This is because the interest paid each month is a percentage of the outstanding balance of the loan. As each payment also repays some of the principal, the outstanding balance (and therefore interest paid) decreases each month, while more of the payment goes to reducing the loan. Final payments consist of a larger proportion of principal to interest (as interest is paid on ever smaller outstanding balances).

